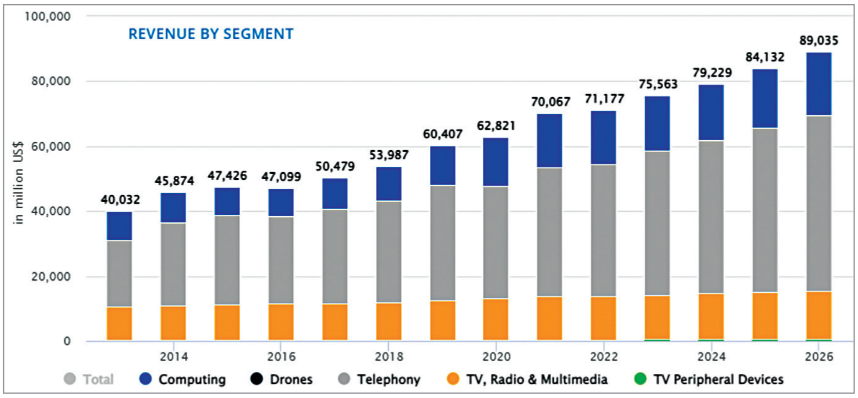

Revenue from consumer electronics segment (Statista)

"It is but natural for such companies to file IPO as they need massive funding. The kind of funds these companies will require can only be raised by going public. The scale at which these companies are today requires them to go public. Otherwise, they will not be adequately resourced, and they will not be able to expand the way they want to," explains Kawoosa.

He adds, "The recent developments like the announcement of PLI schemes have shown a much bigger scale for electronics to such companies. Their potential addressable market, with PLIs, has now stretched beyond India." He explains that to meet the expectations the new scale has put, electronics companies will need a lot of funding, and the best possible way to source that funding is the public route.

Talking about the new scale and then taking an example from the consumer electronics vertical makes things a lot clear about the future of electronics in India. The country is already among the top markets for consumer electronics despite the fact that the penetration rates are still south of 30 to 35%. A report by Statista mentions that revenue in the consumer electronics market (India) has already amounted to US$70,067 million in 2021. The same is forecast to be worth $89,035 million in 2026.

"The market is so vast that even the smartphone companies have started offering consumer electronics beyond smartphones," shares Kawoosa.

Why IPO and not foreign investment

A close look at the factors mentioned above and it becomes easier to guess that all of these are interconnected. Whether it is the increasing market size, the rising geo-polititacl tensions, or the recent PLIs announced by the government of India, all appear to be placed there in a definite pattern.

But why aren't these companies instead of filing for IPO choosing to partner with MNCs for investment?

"Going public majorly means that the controls of the company will majorly remain in the country. People do realise that once they go for a foreign collaboration, most of the foreign partners go for 51:49 kind of partnership, where the 51% belongs to them and the rest belongs to Indian entities. This 51% gives them the decision-making powers. I do not think any Indian company would want that, keeping in mind the way opportunities in the country are growing," explains Kawoosa.

Foxconn's India subsidiary presents a good example of an Indian company trying to raise funds via the public route. The technology group posted revenues of around $178 billion in the year 2019, and in India it is looking to raise around 50 billion rupees through the IPO. The company's IPO will be offered with a 75% reservation for Qualified Institutional Buyers (QIBs), 15% non-institutional investors (NIIs), leaving a meager 10% for retail investors. Would it have been difficult for Foxconn to infuse money in its Indian subsidiary?

"There is no doubt that foreign companies are also investing in India. Dixon had multiple partners who could have invested a lot of money, but they preferred to go with the IPO route. What would you pick when it comes to servicing international debt versus equity? At some point of time equity is going to look better," explains Krishna.

He adds, "The pure-play Indian companies will not prefer foreign investment unless they have subsidiaries already established in and outside of India."

Then comes the 'vocal for local factor.' It is but natural that individuals investing in IPOs will have a lot of confidence in the companies they are putting their money in. The scenario is somewhat like investors funding startups. A good investor in a startup attracts others to put their money in.

Moreover, the likes of Rakesh Jhunjhunwala and others putting their money in electronics companies' stocks has already proved what the move can do. As a matter of fact, what's happening in India now has already happened in countries like the United States, China, Germany, and others.

Should you consider filing for an IPO?

The electronics firms thinking of taking the public route should keep in consideration that filing for an IPO is one thing but being able to generate good market response is another. Right now, the market looks a lot favourable for the electronics companies, but success in the long term depends a lot on not only the company's performance